

MANAGEMENT DISCUSSION AND ANALYSIS

Note

- (1) FY2025 represents fiscal year 2024-25, i.e., from April 1, 2024, to March 31, 2025, and is used analogously for FY2024 and previously such labelled years.
- (2) Unless otherwise stated, financial data given in this Management Discussion and Analysis is based on our Company's consolidated results, prepared in accordance with International Financial Reporting Standards ('IFRS') as issued by the International Accounting Standards Board.
- (3) Our reporting currency is in Indian rupees ('₹'). In instances where we have also given numbers in United States dollars ('US\$'), we have used an exchange rate of ₹ 85.43 = US\$ 1 for FY2025. To maintain comparability and to eliminate losses/gains purely on account of exchange rate fluctuations vis-à-vis the previous accounting year, we have used the same exchange rate (i.e., ₹ 85.43= US\$ 1) for FY2024, purely for comparison purposes.



Global Economic Outlook¹

As per the International Monetary Fund, global growth for 2025 and 2026 is projected at 3.3%, which is lower than the historical average. This is largely on account of global financial conditions, including the strengthening of the US\$, and intensified policy related uncertainty, resulting in divergence between a potential upside for the United States and downside for most other economies. Likewise, world trade volumes are also expected to be slightly lower for 2025 and 2026, while global inflation is estimated to decline to 4.2% in 2025 from historical levels.

Balancing trade-offs between inflation and real activity, structural reforms and stronger multilateral cooperation are the need of the hour to manage this divergence, sustain growth and stability and address global challenges.

Global Pharmaceutical Market Outlook²

The global pharmaceutical market is estimated at ~US\$1.7 tn in 2024 and is expected to grow at a compounded annual growth rate ('CAGR') of 6%. The growth is driven by increasing prevalence of chronic diseases, ageing population, and increasing healthcare spends. Rising demand for patient-centric solutions have resulted in expedited regulatory pathways as well as technological innovations in drug delivery, for example, personalised medicine, targeted therapies, etc. as well as preventative healthcare solutions. Strategic collaborations and investments in research and development ('R&D') continue to drive product development, market competitiveness and access to healthcare, particularly in emerging markets.

Recent trends observed in the sector have been articulated as follows:

Patent cliff to pave way for growth in Generics and Biosimilars

Over the past 20 years, the top 20 pharmaceutical companies have each invested about US\$ 5 bn annually in R&D, resulting in over 800 new drugs for patients. However, by 2030, many of these drugs, ~ 100 of them being biologics will lose their exclusivity and same is estimated to be US\$ 300 bn. About US\$ 150 bn of this impact is expected by 2027. This shift opens the door for more generic and biosimilar drugs to enter the market, which could lower costs and improve treatment access for patients. In response, governments in developing countries are working to expand healthcare access, particularly in underserved regions.

Global Generics Market³

US\$ 389 bn
Market Size (2024)

6%
CAGR (2024-2033)

Global Biosimilars Market⁴

US\$ 42 bn
Estimated Market Size (2025)

18%
CAGR (2025-2030)

At Dr. Reddy's, we aim to improve access to affordable medication through generics as well as biosimilars.

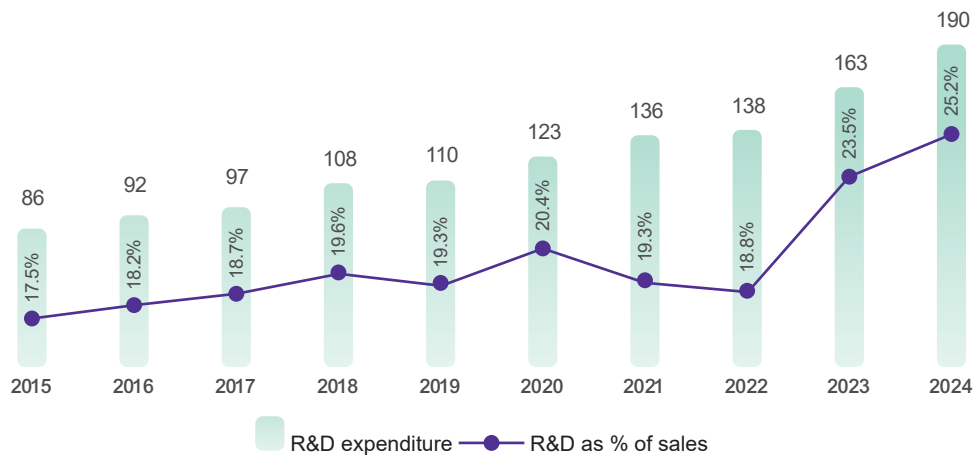
Innovation and collaborations to manage pipeline and revenue gaps

Pharmaceutical companies respond to gaps created by patent cliffs through continued investment in innovation, particularly in specialty and rare diseases. As per a recent report by IQVIA Institute, global R&D funding reached a 10-year high and total R&D spends of large pharmaceutical companies have increased by over 25% for the first time in 2024 (See Figure 1).

1 The outlook and the key trends discussed in this section are primarily from 'World Economic Outlook, Global Growth: Divergent and Uncertain, January 2025' by International Monetary Fund and from various other publicly available sources.
2 The outlook and the key trends discussed in this section are primarily from 'Global Trends in R&D 2025' by IQVIA Institute, '2025 Life Sciences Outlook' by Deloitte Insights, '2025 Preview' by Evaluate Pharma and from various other publicly available sources.
3 Pharmaceutical Market Size & Share, Industry Report, 2030' by Grand View Research.
4 'Biosimilars Market Size - Industry Growth & Forecast Report' by Mordor Intelligence.



Figure 1: Large Pharma R&D expenditure and as a % of sales 2015-2024 (US\$ bn)



Source: Company Financials, February 2025; IQVIA Institute, February 2025

Pharmaceutical companies have been resorting to inorganic strategies as a reliable source of innovation, to diversify their product portfolio and complement their long gestation R&D programs as well as to expand their geographical reach. However, more than half of the deals in 2024 were between emerging biopharma companies, with only 10% of the deals between larger companies. There is a growing influence of China on the global pharma industry, with involvement in 1 in 5 global development programmes as well as 1 in 3 global trials starts in 2024. Over 70 global R&D deals in 2024 involved a Chinese company, selling or licensing out R&D, particularly related to Oncology, to an international partner.

At Dr. Reddy's, we augment our in-house R&D efforts with strategic collaboration, including to bring innovation to India and Emerging Markets.

Oncology continues to be the leading Therapy Area, with Obesity becoming increasingly significant

Pharmaceutical companies are pursuing R&D in profitable disease areas and indications, such as oncology and immunology, to create barriers of entry and to remain competitive (See Figure 2). Oncology remains the most prominent therapeutic area, with trial activity at its highest since pre-COVID levels. Novel mechanisms have gained significance in oncology, with antibody-drug conjugates, cell and gene therapies and multi-specific antibodies, collectively accounting for 35% of oncology trial starts in 2024.

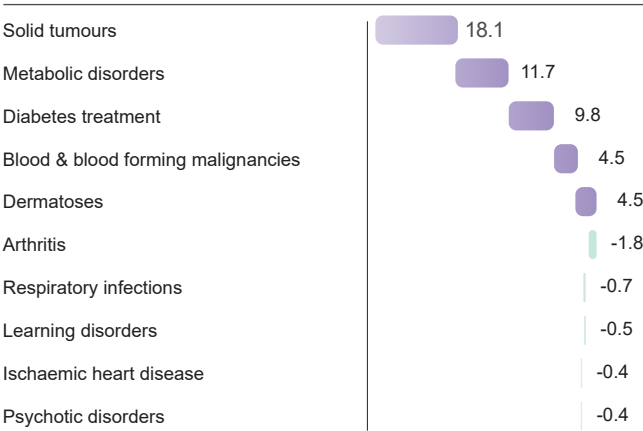
After oncology, metabolic disorders, including diabetes and obesity, is a close second. Obesity pharmoco-therapy was revolutionised with the introduction of

Glucagon-like peptide – 1s ('GLP-1s'). GLP-1s are now revitalising interest in small molecules that treat common conditions. Companies are racing to capture a share of the US\$ 200 bn GLP-1 market, now that these drugs have shown to be effective in treating obesity. With a CAGR of 20% from 2024-30, these drugs and their related combinations will make up nearly 9% of all prescription drug sales in 2030.

1 in 8

People affected by obesity globally
(Source: World Health Organisation ('WHO'))

Figure 2: Therapy Areas: Growth Drivers (In US\$ bn)



Source: Evaluate Pharma's Report on '2025 Preview', January 2025

At Dr. Reddy's, we are actively building a robust pipeline of peptides including GLP-1s, while advancing the necessary capabilities to support their development and delivery.

Impact of Digital transformation on organisational strategies

While spends are increasing, R&D productivity remains a concern for pharmaceutical players. Advances in Artificial Intelligence ('AI') and Machine Learning ('ML'), cloud computing, generative AI, and other advanced analytics are increasingly finding applications within life sciences. Pharmaceutical companies are looking to augment their traditional R&D process by leveraging AI and digital twins, particularly in target selection, drug candidate discovery, clinical planning and design, and R&D decision-making and streamlining operations.

Companies are deploying various efficiency levers in their operations to increase success rates, reduce cycle times and costs and boost productivity.

At Dr. Reddy's, we are committed to scaling productivity by seamlessly integrating digital initiatives across all areas of our operations.

Bracing for global uncertainties and business volatilities

Companies today are facing unpredictable challenges such as inflation, economic recession, and potential disruption in supply chain and manufacturing due to geo-political conflicts. Companies are evaluating their potential impact and working to address known challenges through approaches such as:

- Building resilient and adaptable supply chains;
- Optimising operating models with a focus on performance improvement initiatives, boosting productivity and reducing costs;
- Navigating increasingly complex customer relationships to improve patient outcomes;
- Creating value through sustainability.

At Dr. Reddy's, we stay committed to proactively mitigating risks and responding to known challenges with resilience, agility, and strategic foresight. Through sustainable practices and responsible leadership, we continue to deliver long-term value to our stakeholders across people, planet, and patients.





About our Company

83

Markets Served

23

of Manufacturing Units

9

of R&D Facilities

26,944

Employee Base

57

Employee Nationalities

10

Rank in Indian
Pharmaceutical Market⁵

8

Rank in US Generics Market⁵

We are an integrated global, science-led, patient-focused pharmaceutical company, serving over 80 markets worldwide, enabled by over 26,900 employees.

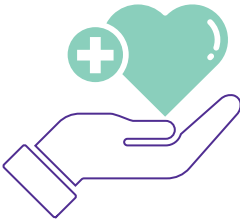
We operate across two core business segments:



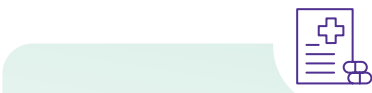
Global Generics ('GG'), which includes development, manufacturing and marketing generic versions of high-priced innovator medicines at an affordable price in the form of branded and unbranded prescription medicine. This also includes differentiated product categories like peptides, biosimilars, consumer health and innovation, including digital therapeutics. Our in-house development efforts are also supplemented by in-licensing and collaborative initiatives.

Apart from these, under the 'Others' segment, we report revenues from our wholly-owned subsidiary, Aurigene Oncology Limited ('AOL') as well as Proprietary Products, our clinical stage biotech business focused on commercialisation of differentiated formulations through partnerships to maximise value.

⁵ Source: IQVIA Moving Annual Total ('MAT') March 2025



Guided by our philosophy, 'Good Health Can't Wait', Dr. Reddy's Laboratories Ltd. ('Dr. Reddy's', 'DRL', or 'our Company') is committed to shaping a future where innovative healthcare is affordable and accessible to all and to creating impactful outcomes that benefit patients and communities alike.



Pharmaceutical Services and Active Ingredients ('PSAI'), comprises of manufacturing and marketing of Active Pharmaceutical Ingredients ('APIs') and intermediates, which are the principal ingredients for finished pharmaceutical products. We also serve our customers with incremental value-added products, including semi-finished and finished formulations. The segment also includes our contract development and manufacturing organisation ('CDMO'), which is operated by our wholly-owned subsidiary, Aurigene Pharmaceutical Services.

We operate a network of 23 manufacturing facilities and nine R&D facilities worldwide. Our key markets include the United States, Europe, India, Russia, Commonwealth of Independent States ('CIS') countries, Brazil, South Africa, China, Australia, amongst others. The therapy areas that we are focused on include Oncology, Central Nervous System, Pain Management, Gastro-Intestinal, Respiratory, Cardiovascular, amongst others.

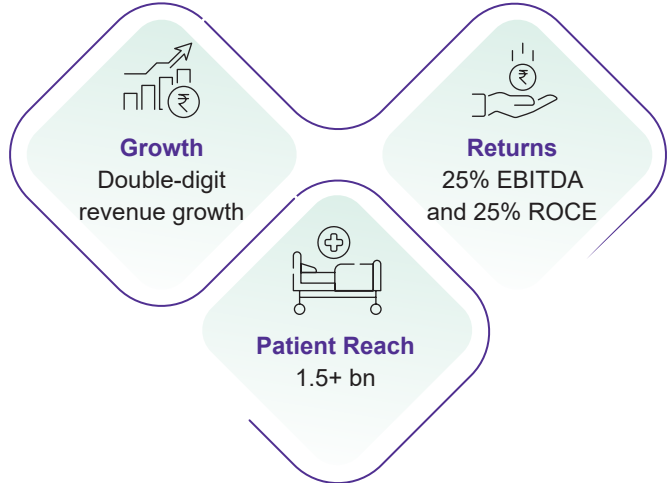
'Securing our core, while building our future' recapitulates our growth strategy, which is built on three tenets:

- Market leadership in our chosen spaces
- Operational excellence and continuous improvement to drive productivity and
- Patient-focused innovation

We continue to leverage our global presence and our 'partner-of-choice' status to strategically collaborate for driving our growth strategy.

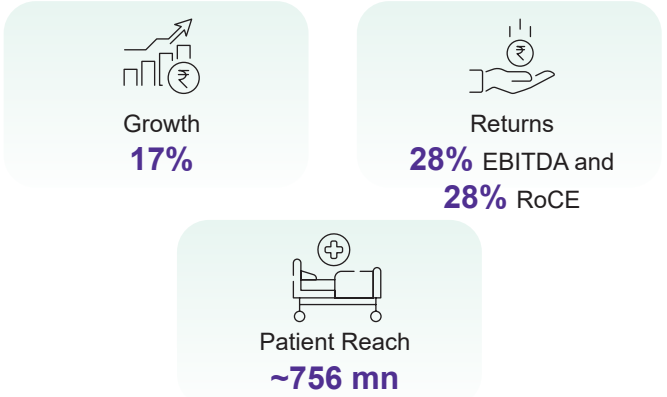
We believe these tenets guide our continued efforts and enable us to consistently deliver on our stated aspirations (See Figure 3), while creating sustainable value for all stakeholders.

Figure 3: Our Aspirations



Dr. Reddy's Performance Update, FY2025

Delivering on our Aspirations in FY2025



Fiscal year 2025 has been a year of consistent performance. We reported highest-ever sales, and profitability, while continuing to build our commercial capabilities, and investing in the pipeline as well as state-of-the-art manufacturing capacities. During the year, we also made meaningful progress on our stated future growth drivers of consumer healthcare as well as innovation. One of the key milestones in FY2025 in our consumer healthcare journey was the acquisition of Nicotinell® and related brands in the Nicotine Replacement Therapy ('NRT') category in markets outside the US from Haleon plc for a total consideration of Great British Pound ('GBP') 500 mn.

Highest-ever

Revenues

17%

Year-on-Year Growth

₹ 325.5 bn

Consolidated Revenues

Consolidated revenues in FY2025 were ₹ 325.5 bn, a growth of 17% compared to the previous year. The growth was primarily driven by contributions from the acquired NRT business, as well as healthy growth in our base businesses, both GG and PSAI.

Global Generics

89%

% of Consolidated Revenues

18%

Year-on-Year Growth

165

of Launches

249

of Filings

₹ 289.6 bn

Revenues

Revenue from GG in FY2025 was ₹ 289.6 bn, a growth of 18% compared to the previous year. This was driven by strong performances witnessed across geographies and aided by contribution of the acquired NRT business.

In FY2025, GG contributed to around 89% of our Company's overall sales. Some key highlights of the segment for the year were:

- A total of 165 products were launched across geographies in FY2025;
- A total of 249 global filings were done in FY2025.



The GG Segment also includes our biosimilars business, which has developed into a fully integrated organisation, with capabilities across development, manufacturing and commercialisation over the last 25 years.

1
of facility locations
for Biosimilars

34
Markets Served

12+
of Biosimilars in Portfolio

8
of Commercial Biosimilars

Our 'limited play' in-house portfolio strategy focuses on products that have a 'right to win' through limited competition. We further augment in-house development capabilities with collaboration to maximise impact. Our current biosimilars portfolio (**See Figure 4**) comprises of 12+ products, including eight commercial products. These products are primarily marketed in India and Emerging Markets. One of our products, pegfilgrastim, has been commercialised in the US and in Europe through our partner. We are now building our own front-end commercial team for the regulated markets and have launched our first product, bevacizumab, in the UK with our in-house commercial team.

In addition, we have a pipeline of products in oncology and auto-immune diseases, in various stages of development for global launches. This includes two which are in late-stages, namely, a biosimilar abatacept candidate, which is currently in advanced stages of Phase III trials and where we believe we have a First-to-Market status, as well as a biosimilar rituximab candidate. During FY2025, we licensed-in five more biosimilar candidates to strengthen our portfolio, namely denosumab and daratumumab for the regulated markets, pertuzumab for India as well as ustekinumab and golimumab for emerging markets, primarily in South-East Asia.



Moving towards innovation through novel biologics:

- We have collaborated with Coya Therapeutics for exclusive development and commercialisation of COYA 302, an Investigational Combination Therapy for treatment of Amyotrophic Lateral Sclerosis ('ALS').
- We are also working on a few Chimeric Antigen Receptor T ('CAR-T') Cell Therapy products and have set up a CAR-T facility in Bengaluru, India this year.

Figure 4: Our Biosimilars Portfolio

Product	Therapeutic Area	Presence	
		Regulated Markets	Emerging Markets
Rituximab	Oncology	• Awaiting approval in the US • Approved in Europe and United Kingdom ('UK')	Commercial
Bevacizumab	Oncology	Commercial in UK	Commercial
Pegfilgrastim	Oncology	Commercial in US and Europe through partner	Commercial
Trastuzumab	Oncology	NA	Commercial
Darbepoetin	Anaemia	NA	Commercial
Filgrastim	Oncology	NA	Commercial
Denosumab	Osteoporosis	Filed in US and Europe	Commercial in India
Pertuzumab	Oncology	NA	Commercial in India
Abatacept	Rheumatoid arthritis	Under development for US and Europe	Under development
Daratumumab	Oncology	Under development for US and Europe	NA
Ustekinumab	Anti-inflammatory	NA	Under development for South Asia and Colombia
Golimumab	Anti-inflammatory	NA	Under development for South Asia

We are also ramping up manufacturing capacity at our Bachupally facility in Hyderabad to support our global expansion plans. The facility houses six plants for drug substance manufacturing and two for drug products.

Some key updates for the segment during the year were:

- Collaborated with Alvotech for commercialisation of their denosumab biosimilar candidate, AVT03, in the US on an exclusive basis, as well as in Europe and UK on a semi-exclusive basis. The US Food and Drug Administration ('USFDA') accepted the Biologic License Application ('BLA') submission for AVT03.
- Partnered with Shanghai Henlius Biotech, Inc. for exclusive commercialisation of their daratumumab biosimilar candidate in the US as well as in Europe.
- Entered into an exclusive commercialisation agreement with Bio-Thera Solutions for proposed ustekinumab and golimumab biosimilar, for select countries in Southeast Asia with additional rights in Colombia for ustekinumab.

North America Generics ('NAG')

45%
% of Consolidated Revenues

12%
Year-on-Year Growth

8
Rank in US Generics Market⁶

18
of Launches

10
of Filings

329
of Cumulative Filings

76
of Filings Pending Approval

46
of Para-IV filings
Pending Approval

20
of FTF ANDAs
Pending Approval

₹ 145.2 bn
Revenues

3.0% vs. 3.8%
Growth vs. US Generics Market⁶

In FY2025, our largest market, NAG, contributed to around 50% of our Company's GG sales and 45% of overall sales. Revenue from the region for FY2025 was ₹ 145.2 bn or approximately US\$ 1.7 bn, representing a growth of 12% over the previous year. The growth was largely on account of increased volumes in the base business, including lenalidomide, partially offset by price erosion.

⁶ IQVIA MAT March 2025



Some key updates for the segment during the year were:

- Received exclusive rights from Ingenus Pharmaceuticals to commercialise Cyclophosphamide Injection in the US.
- Launched 18 new products in the region.
- Filed 10 new Abbreviated New Drug Applications ('ANDAs') with the USFDA.
- Cumulative ANDA filings as of March 31, 2025 is 329.
- As of March 31, 2025, we had 76 generic filings pending approval from the USFDA. These comprise of 73 ANDAs and three New Drug Applications ('NDAs') filed under the Section 505(b)(2) route of the US Federal Food, Drug, and Cosmetic Act. Of the 76 filings pending approval, 46 are Paragraph IV applications, including one NDA, and we believe that 20 of these have the 'First to File' status.
- Divested our Shreveport manufacturing site in Louisiana, US to Jaguar Labs Holdings, LLC.
- Divested 14 non-strategic ANDAs to Senores Pharmaceuticals.

Outlook for North America Generics Business

We continue to focus on accelerating the development and launch of our complex product portfolio, including peptides, biosimilars, and increasing the market share of existing products, while ensuring cost leadership through productivity improvement measures. In the medium term, our areas of focus include injectables and complex oral solid dosage forms, as well as Over-the-Counter ('OTC') brands and Direct-to-Consumer channels, whereas focus in the long term will be on biosimilars, immune-oncology drugs, differentiated offerings such as drug-device combinations, digital solutions, etc.

Europe

11%

% of Consolidated Revenues

75%

Year-on-Year Growth

39

of Launches*

36

Markets Served

₹ 35.9 bn

Revenues

*Excluding the acquired NRT business

Revenue from Europe in FY2025 was ₹ 35.9 bn, representing a growth of 75% over the previous year.

The increase in revenues was propelled by contributions from the recently acquired NRT business, growth in sales volume and new product launches across our major markets, which was partially offset by price erosion in some of our products. Excluding revenues from the acquired NRT business, revenue growth was 16% over the previous year. In FY2025, Europe contributed to 12% of our GG sales and 11% of our overall sales. Some key highlights of the segment for the year were:

- Acquired Nicotinell® and related brands in the NRT category in markets outside the US from Haleon plc.
- Launched drug-free migraine management device, Nerivio®, in Germany, Spain and UK.
- Launched 39 new generics products (excluding the recently acquired NRT business) across countries within the segment.



Building a global consumer healthcare business, in line with stated strategy, through acquisition of market-leading brands in NRT category outside of the US.

- Our subsidiary, Dr. Reddy's Laboratories SA signed a definitive agreement with Haleon plc in June 2024.
- We acquired the business for a total consideration of GBP 500 mn with an upfront cash payment of GBP 458 mn and performance-based contingent payments of up to GBP 42 mn, payable in 2025 and 2026.
- The transaction was consummated in September 2024.
- Operations will transition to us in a phased approach to ensure successful integration of the business.
- In FY2025, the business generated approximately ₹ 12.0 bn in revenues.



About the brands acquired:

- Portfolio includes Nicotinell® with an extensive footprint in over 30 countries spanning Europe, Asia including Japan, and Latin America, and local market-leading brand names of the product – Nicabate® in Australia, Thrive® in Canada, and Habitrol® in New Zealand and Canada.
- Formats include lozenge, patch, gum as well as pipeline products.
- About Nicotinell®:
 - 2nd largest brand globally (ex US) in the NRT category.
 - 1st or 2nd position in 14 of the top 17 global markets, with the lozenge/mini lozenge format holding top position globally⁷.
 - Among top 15 biggest brands among all OTC brands in Europe⁸, and ranks 32 among all OTC global brands (ex US)⁹.



About NRT category:

- Tobacco use causes eight mn deaths every year from health consequences such as cardiovascular diseases, lung disorders, cancers, diabetes, and many other debilitating diseases.
- According to WHO, of the 1.3 bn tobacco users globally, 60% have expressed the desire to quit; however, only 30% have access to the tools to help them to do so successfully.
- NRT is recommended by the 'WHO Model List of Essential Medicines' for nicotine use disorders.

⁷ Based on 2022 Retail Sales Value

⁸ Excluding Russia, Italy

⁹ Nicholas Hall DB6 database 2023

Outlook for Europe Business

We expect to scale up our existing business in EU5 (Germany, UK, Spain, France & Italy) by leveraging our in-house portfolio of generics and biosimilars and seeking in-licensing opportunities as well as expand in new markets to drive growth. We will also build branded businesses with differentiated brands & OTC products, with the recently acquired NRT business as an anchor. While our initial focus is on seamlessly integrating the NRT business, we intend to build the consumer health business by:

- Investing in the brands in the form of advertising and promotion;
- Launching new formats and presentations;
- Launching the brand in other countries where we have a strong presence; and
- Bolt-on acquisitions to bring more brands to the customers through the retail channel.



Emerging Markets

17%

% of Consolidated Revenues

13%

Year-on-Year Growth

85

of Launches

46

Markets Served

₹ 54.8 bn

Revenues

Revenue from Emerging Markets for FY2025 was ₹ 54.8 bn, an increase of 13% as compared to the previous year. The growth was driven by market share expansion as well as contributions from new product launches. In FY2025, Emerging Markets contributed to 19% of our GG sales and 17% of our overall sales. Some key highlights of the segment for the year were:

- Partnered with Novartis Pharma LLC to distribute two of their leading anti-diabetes brands, Galvus® and Galvus Met®, in the Russian retail market.
- Acquired Helinorm supplements from Kraft Group, to strengthen the Gastro-Intestinal portfolio in Russia.
- Signed the distribution agreement with Pandex on new patented medical device used in the acute pancreatitis treatment in hospitals in Russia.
- Launched drug-free migraine management device, Nerivio®, in South Africa.
- Launched a total of 85 new products across various countries within the segment this year.

Revenue from Russia for FY2025 was ₹ 26.0 bn, representing an increase of 16% over the previous year. However, in local currency ('Russian Rouble') terms, there was an increase of 24% over the previous year. The growth was largely attributable to improved base business volumes, revenues from new launches and price increases in certain brands. IQVIA ranked us 13th in terms of sales value in Russia for the twelve months ended March 31, 2025.

Revenue from CIS countries and Romania for FY2025 was ₹ 8.9 bn, representing an increase of 3% over the previous year. The benefit of higher sales prices and contribution from new launches were partially offset by decreases in sales volumes.

Revenue from our Rest of the World markets (which includes Brazil, China, South Africa, Australia, and certain other markets) for FY2025 was ₹ 19.9 bn, representing an increase of 12% over the previous year. The increase is largely attributable to increase in sales volumes as well as new products launched during the year, partially offset by price erosion.

Outlook for Emerging Markets Business

We continue to focus on improving the market share in the chosen therapy areas, through growth in the existing products as well as new product launches, supported by sales and marketing excellence. We will further scale up in our major markets, which include Russia, China, Brazil, and South Africa and add new geographies by leveraging our in-house global portfolio of generics, peptides and biosimilars and seeking in-licensing opportunities. Our medium-term strategy for the segment is to build a healthy portfolio pipeline, including oncology products, coupled with the expansion of biosimilars. We are also focused on growing 'Mega Brands' both in prescription and OTC segments. In the longer term, our focus would be to build a differentiated portfolio including nutritional solutions, biologics, NCEs/NBEs as well as offerings like Disease management & Direct-to-Customer.

India

17%

% of Consolidated Revenues

16%

Year-on-Year Growth

10

IPM Rank¹⁰

23

of Launches*

443

Total # of Brands

~7,400

Field Force

~₹ 600,000

Per Capita Per Month ('PCPM')

17

of Brands in IPM Top 300¹⁰

₹ 53.7 bn

Revenues

8.4% vs. 8.0%

Growth vs. IPM¹⁰

21

of ₹ 100 Crore+ Brands¹⁰

Revenue from India in FY2025 was ₹ 53.7 bn, a growth of 16% compared to the previous year. In FY2025, India contributed to 19% of our global generics sales and 17% of our overall sales. This growth was due to the full year contribution from distribution of the vaccines portfolio in-licensed from Sanofi Healthcare India Private Limited ('in-licensed Sanofi Portfolio'), integration of the products under the Nutraceuticals Subsidiary, revenues from new products launched during the year and higher sales prices, partially offset by a decrease in sales volumes. Excluding the revenues from the in-licensed Sanofi portfolio, revenues from India grew in mid-single digit for the year. As of March 31, 2025, we had a total of 440+ branded products in India and a field force of over 7,400 sales representatives (excluding those on contract) to detail our product portfolio. According to IQVIA in its report for the 12-month period ended March 31, 2025, our secondary sales grew by 8.4%, faster than the market growth at 8.0%. Our market rank was 10th in terms of sales value as per the same report. Leveraging our current endowments, we continued to strategically collaborate to further strengthen our position in the Indian Pharmaceutical market ('IPM') by bringing innovation to the Indian patient.

Some key highlights of the segment during the year were:

- Entered into a partnership with Nestlé India for nutraceuticals.
- Launched Toripalimab, the first and only immuno-oncology drug approved for the treatment of nasopharyngeal carcinoma.
- Entered into a non-exclusive patent licensing agreement with Takeda to commercialise Vonoprazan, a novel gastrointestinal drug.
- Signed a marketing and distribution agreement with Bayer for second brand of Vericiguat™ in India.
- Launched Elobixibat, a first-in-class drug to treat chronic constipation, under the brand name BixiBat®.
- Marked our entry in the Jan Aushadhi program of the Government of India.
- 17 brands are among the top 300 brands of the Indian pharmaceuticals market such as Atarax, Voveran, Econorm, Ketorol, Omez, etc.
- 21 of our brands had revenues in excess of ₹ 1 bn in FY2025 as per IPM data.
- Launched 23 new brands (Excluding the in-licensed Sanofi portfolio and the products under the Nutraceutical Subsidiary) in the country.

*Excluding the in-licensed Sanofi portfolio and the products under the Nutraceutical Subsidiary.
10 IQVIA MAT March 2025



Building a global consumer healthcare business, in line with stated strategy, through partnership with Nestlé India to bring science-backed nutritional portfolio to more consumers in India.

- Entered into 51:49 joint venture in June 2024.
- Operationalised in August 2024 through subsidiary, 'Dr. Reddy's and Nestlé Health Science Limited' ('Nutraceuticals Subsidiary').
- To bring Nestlé Health Science's ('NHSc') nutritional health solutions as well as vitamin, minerals, herbals and supplements in metabolic, hospital nutrition, general wellness, women's health and child nutrition to India by leveraging our strong and established local commercial expertise.
- Subsidiary to license NHSc's Brands such as Nature's Bounty, Osteo Bi-Flex, Ester-C, Resource High Protein, Optifast, Resource Diabetic, Peptamen, Resource Renal and Resource Dialysis as well as Dr. Reddy's existing brands such as Rebalanz, Celevida, Antoxid, Kidrich-D3, Becozinc in the nutrition and OTC segments.



Outlook for India Business

In the near term, we will continue to focus on building big brands and winning in chosen therapy areas through differentiated portfolio and inorganic play, while also driving productivity improvement. Leveraging our 'partner of choice' status within the industry, we will continue to strategically collaborate for bringing innovation that will cater to unserved, underserved or unarticulated patient needs. In the medium to long term, our strategy is to build a healthy pipeline of differentiated products in relevant therapies including biosimilars, expand our presence in areas such as OTC and nutraceuticals, biologics, CAR-T, New Chemical Entities/New Biological Entities, disease management.



Pharmaceutical Services and Active Ingredients

10%

% of Consolidated Revenues

14%

Year-on-Year Growth

111

of Global Filings

14

of US DMFs Filed

1,629

of Active Filings

264

of Active US DMFs

₹ 33.8 bn

Revenues

The PSAI business recorded revenues of ₹ 33.8 bn in FY2025, an increase of 14% compared to the previous year. In FY2025, PSAI contributed to 10% of our overall sales. This increase was largely on account of higher API sales volumes, new APIs launched during the year as well as growth in our CDMO business, partially offset by price erosion. Some key highlights of the segment during the year were:

- Inaugurated a 70,000 sq.ft. state-of-the-art Biologics facility of Aurigene Pharmaceutical Services in Genome Valley, Hyderabad, India. The process and analytical development laboratories are operational, while the commissioning of manufacturing capacity will be completed in mid-2025.
- Entered into a voluntary licensing agreement with Gilead Sciences to manufacture and commercialise HIV treatment drug, lenacapavir, in 120+ countries.
- Filed 111 drug master files ('DMFs') globally in FY2025, of which 14 were in the US. Cumulatively, our total active DMFs filed worldwide as of March 31, 2025 were 1,629, including 264 active DMFs filed in the US.

Outlook for PSAI

We are focused on building a sustainable and growing API business through new product launches and the ramping up of base businesses in key geographies, while driving economies of scale and assurance of supply through backward integration. We will continue to leverage our relationships with key customers by supplying materials that have value addition. We aim to be a 'partner of choice' for global pharmaceutical companies and achieve global leadership through costs and service.

For our CDMO business, our objective is to be the preferred partner for innovator pharmaceutical companies, providing a complete range of services that are necessary to support their innovations to bring a new drug to the market quickly and efficiently.

Others

Others segment recorded revenues of ₹ 2.1 bn in FY2025, a decline of 45% compared to the previous year. In FY2025, this segment contributed to 1% of our overall sales.

Around one-third of the segment's revenues is contributed by AOL, while the remaining is from the proprietary products business, including milestone income on out-licensed products. Some key highlights of the segment during the year were:

- Received approval from the USFDA for Investigational New Drug ('IND') application for AUR-112, a highly differentiated potent and selective inhibitor of MALT1, being developed for treatment of lymphoid malignancies.
- Promising results of Phase 1 study for India's first trial for novel autologous CAR-T cell therapy for multiple myeloma.





Quality Update

At Dr. Reddy's, we define quality as a 'pursuit of excellence', transcending mere compliance, achieved by endorsing a quality mind set, as well as investing in our people and systems.

While our products undergo rigorous testing before they are brought to the market, we believe in positively influencing product quality at the point of manufacturing, through robust product design and effective manufacturing processes, rather than relying solely on documentation, administrative controls or testing. Our global pharmacovigilance programme monitors the safety of our marketed products.

We strive towards continually strengthening our Quality Management Systems ('QMS') and making our procedures simplified and streamlined. We also systematically invest in digitalisation and use sophisticated analytics and AI/ML to make informed, science-based decisions in our manufacturing and QMS. In addition to undertaking operational improvements, we also improve the rigour of investigations.

We continue to invest in upskilling and training of our quality professionals to enable them to follow the high standards of quality that we are committed to.

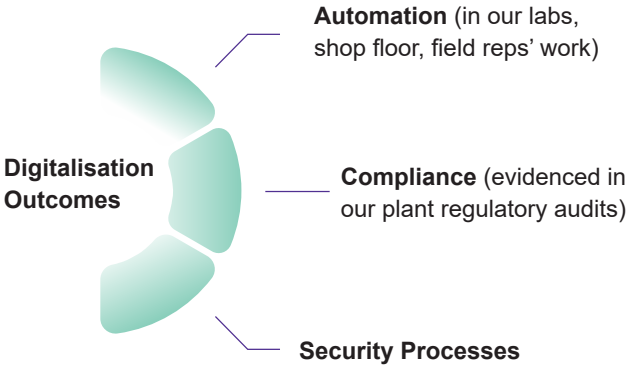
Our facilities are fully compliant with USFDA regulations and are maintained to be 'inspection ready' for any regulator at all times.

We remain committed to 'putting patients first' by producing safe, efficacious and affordable products.

Digital Transformation Update

We follow an integrated approach to digital initiatives, aligned with broader organisational objectives, to drive productivity at scale within the Company and to enhance patient outcomes.

Our proactive digital investments have positioned us ahead of competitors in core digitalisation. Internal and external assessments indicate our digital maturity is on par with leading organisations and we continuously benchmark our progress using various frameworks, such as National Institute of Standards and Technology ('NIST'), International Organization for Standardization ('ISO'), Sarbanes–Oxley Act ('SOX') compliance frameworks etc.



In continuation of the digital transformation efforts last year, our five areas of focus are:

- Digitalising key processes;
- Scaling up our existing capabilities through intelligent nerve centres for data and process integration;
- Designing smart platforms to make processes lean and low touch with cross-functional integration;
- Building new capabilities for enabling businesses of the future with coherent technology and business roadmaps; and
- Strengthening our digital backbone with robust infrastructure, data, and governance capabilities.

We will continue to build upon our digital transformation achievements to unlock further transformational potential and drive meaningful efficiencies, leading to positive impact on the business.

To read more about our digitisation initiatives, please refer to Page 20 of our Integrated Report.

People Update

We continued to focus on organisational effectiveness through talent development and people productivity. We ensured consistent business delivery through proactive efforts in talent acquisition, talent management and succession planning initiatives. We have been driving productivity enhancement by leveraging automation and digitalisation. Our ongoing transition to a 'role-based, skill-first' organisation, and an effective organisational structure have contributed to improved business performance. We continue to place emphasis on capability-building initiatives and personalised learning journeys, designed to equip our talent with the necessary skills to effectively navigate upcoming business challenges and thrive in evolving landscapes. Underpinning our people practices is our value of 'respect for the individual', which has enabled us to create a fair and inclusive workplace for our employees.

To read more about our detailed people practices and initiatives, please refer to Page 34 of our Integrated Report.

Financial Update

Table 1 gives the abridged IFRS consolidated revenue performance of Dr. Reddy's for FY2025 compared to FY2024.

Table 2 gives the consolidated income statement.

Table 1: CONSOLIDATED REVENUE MIX BY SEGMENT (In mn)

Particulars	FY2025			FY2024			Growth %
	US\$	(₹)	%	US\$	(₹)	%	
Global Generics	3,389	289,552	88.9	2,873	245,453	87.9	18
North America	1,699	145,164	44.6	1,520	129,895	46.5	12
Europe*	420	35,882	11.0	240	20,511	7.3	75
India	629	53,734	16.5	543	46,407	16.6	16
Emerging Markets#	641	54,771	16.8	569	48,640	17.4	13
PSAI	396	33,846	10.4	349	29,801	10.7	14
Others	25	2,137	0.7	46	3,910	1.4	(45)
Total	3,811	325,535	100.0	3,268	279,164	100.0	17

*Europe primarily includes Germany, the UK, Italy, France and Spain as well as the acquired NRT business.

#Emerging markets refer to Russia, other CIS countries, Romania and Rest of the World markets.

Table 2: CONSOLIDATED INCOME STATEMENT (In mn, except EPS)

Particulars	FY2025			FY2024			Growth %
	US\$	(₹)	%	US\$	(₹)	%	
Revenues	3,811	325,535	100.0	3,268	279,164	100.0	17
Cost of Revenues	1,581	135,107	41.5	1,353	115,557	41.4	17
Gross Profit	2,229	190,428	58.5	1,915	163,607	58.6	16
Operating Expenses							
Selling, General & Administrative expenses	1,099	93,870	28.8	904	77,201	27.7	22
Research and Development expenses	320	27,380	8.4	268	22,873	8.2	20
Impairment of non-current assets	20	1,693	0.5	0	3	0.0	56,333
Other operating expenses/ (income)	(51)	(4,358)	(1.3)	(49)	(4,199)	(1.5)	4
Results from operating activities	841	71,843	22.1	793	67,729	24.3	6
Finance expense/(income), net	(55)	(4,724)	(1.5)	(47)	(3,994)	(1.4)	18
Share of loss/(profit) of equity accounted investees, net of income tax	(3)	(217)	(0.1)	(2)	(147)	(0.1)	48
Profit before income tax	899	76,784	23.6	841	71,870	25.7	7
Income tax expense	229	19,539	6.0	189	16,186	5.8	21
Profit for the period	670	57,245	17.6	652	55,684	19.9	3
Attributable to:							
Equity holders of the parent	662	56,544	17.4	652	55,684	19.9	2
Non-controlling interests	8	701	0.2	-	-	-	-
Diluted Earnings Per Share (EPS)	0.79	67.8		0.78*	66.8*		1

*In FY2025, the share capital of the Company was altered by sub-division/split of existing equity shares of face value of ₹ 5 each, fully paid up, into 5 equity shares of ₹ 1 each, fully paid-up. Further, each American Depositary Share ('ADS') continues to represent one underlying equity share and, therefore, the number of ADSs held by an American Depositary Receipt ('ADR') holder has increased proportionately. Historical numbers have been re-casted basis the increased number of shares post share split.



Revenues

Total revenues grew by 17% to ₹ 325,535 mn in FY2025. This was driven by contributions from the acquired NRT business, as well as healthy growth in our base businesses, revenues from new products, partially offset by price erosion, primarily in North America and Europe Generics.

Gross Profit

Gross profit increased by 16% to ₹ 190,428 mn in FY2025. This led to a gross profit margin of 58.5% in FY2025, representing a decrease of 11 basis points compared to the previous year. The gross profit margin for GG was 62.0%, while for the PSAI business, the gross profit margin was 27.1%. The marginal decline was primarily due to price erosion, partially offset by a favourable product mix.

Selling, General, and Administrative ('SG&A') Expenses

SG&A expenses increased by 22% to ₹ 93,870 mn in FY2025. The increase is largely on account of higher investments in sales and marketing to strengthen existing brands and support new business initiatives, including the expansion of our consumer healthcare portfolio, higher personnel costs and elevated freight rates. SG&A accounted for 28.8% of revenues in FY2025.

Research and Development expenses

R&D expenses increased by 20% to ₹ 27,380 mn in FY2025. The increase is primarily on account of our developmental efforts to build a healthy pipeline of complex products, including peptides, biosimilars across our markets as well as novel oncology assets. R&D accounted for 8.4% of revenues in FY2025.

Impairment of Non-Current Assets

In FY2025, there was a charge of ₹ 1,693 mn on impairment of non-current assets, in comparison to ₹ 3 mn in the previous year. The charge in FY2025 was related to impairment of certain intangibles related to products in North America, India and Europe Generics business, due to procurement constraints, challenging market conditions, etc. resulting in lower recoverable value compared to the carrying value.

Net Other Operating Income

In FY2025, net other operating income was ₹ 4,358 mn, versus ₹ 4,199 mn in the previous year. This increase was primarily on account of reclassification of foreign exchange gain relating to foreign operations, from foreign currency translation reserves, post divestment of Shreveport manufacturing facility.

Net Finance Income

Net Finance Income was ₹ 4,724 mn in FY2025, versus ₹ 3,994 mn in FY2024. The increase was largely on account of higher foreign currency exchange gain.

Net Profit

Net Profit increased by 3% to ₹ 57,245 mn in FY2025, versus ₹ 55,684 mn in the previous year. This represents a margin of 17.6% of revenues versus 19.9% in FY2024.

The effective tax rate was higher at 25% for FY2025 on account of:

- reversal of previously recognised deferred tax asset on indexation of land, consequent to amendments made pursuant to the Finance Act (No.2) 2024 to the Income Tax Act, 1961 in India;
- recognition of a previously unrecognised deferred tax asset on operating tax losses, primarily pertaining to Dr. Reddy's Laboratories SA, Switzerland during the year ended March 31, 2024; and
- an increase in the proportion of the Company's profits coming from higher tax jurisdictions and a decrease in the proportion of profits from lower tax jurisdictions for the period ended March 31, 2025, as compared to the period ended March 31, 2024.

Nestlé India's 49% ownership stake in the Nutraceuticals subsidiary is reported as a Non-Controlling Interest. Profit after tax attributable to the equity holders of the parent company was ₹ 56,544 mn for the year ending March 31, 2025, representing 17.4% of our total revenues for such period.

Liquidity and Capital Resources

Net Cash generated from operating activities in FY2025 was ₹ 46,428 mn. Net outflow due to investing activities amounting to ₹ 58,077 mn in FY2025 includes acquisitions, net investment in property, plant, equipment, and intangibles to build capacity and capabilities for future business growth. Cash inflow from financing activities during the fiscal was ₹ 18,911 mn. Closing cash and cash equivalents on March 31, 2024, was ₹ 14,593 mn. The data is given in Tables 3 and 4.

Table 3: Consolidated Cash Flow According to IFRS (in ₹ mn)

Particulars	FY2025	FY2024
Opening Cash and Cash Equivalents	7,107	5,779
Cash flows from:		
(a) Operating Activities	46,428	45,433
(b) Investing Activities	(58,077)	(40,283)
(c) Financing Activities	18,911	(3,763)
Effect of exchange rate changes	224	(59)
Closing Cash and Cash Equivalents*	14,593	7,107

*Closing cash balance adjusted for Bank Overdraft of ₹ 61 mn and NIL for year ended March 31, 2025 and March 31, 2024, respectively.

Table 4: Consolidated Working Capital (in ₹ mn)

Particulars	As on March 31, 2025	As on March 31, 2024	Change
Trade Receivables (A)	90,420	80,298	10,122
Inventories (B)	71,085	63,552	7,533
Trade Payables (C)	35,523	30,919	4,604
Working Capital (A+B-C)	125,982	112,931	13,051
Other Current Assets (D)	124,130	104,199	19,931
Total Current Assets (A+B+D)	285,635	248,049	37,586
Short & Long-term loans and borrowings, current portion (E)	38,902	14,030	24,872
Other Current Liabilities (F)	55,967	51,090	4,877
Total Current Liabilities (C+E+F)	130,392	96,039	34,353

Debt-Equity

In FY2025, long-term borrowings, including the current and non-current portion, increased by ₹ 1,424 mn, net as compared to FY2024. On March 31, 2025, our Company's debt-to-equity ratio was 0.14, which is higher than that on March 31, 2024, which was at 0.07. Table 5 below gives the data. The net debt-to-equity position was at (0.07) versus (0.23) last year.

Table 5: Debt and Equity Position (in ₹ mn)

Particulars	As on March 31, 2025	As on March 31, 2024	Change
Total Shareholder's Equity	337,166	280,550	56,616
Long-term debt (current portion)	857	1,307	(450)
Long-term debt (non-current portion)	7,864	5,990	1,874
Short-term borrowings	38,045	12,723	25,322
Total Debt	46,766	20,020	26,746



Internal Controls

Our Company's corporate governance framework includes well-developed systems of internal controls, which are designed to provide reasonable assurance of achievement of organisational objectives.

The effectiveness of these controls is ensured through clear policies and procedures, process automation, training of employees and segregation of responsibilities.

Our internal audit team is an independent assurance and advisory function, responsible for evaluating and improving the effectiveness of risk management, control and governance processes.

The Audit Committee of the Board reviews the adequacy of internal controls, monitors the performance of the internal audit team on a periodic basis through review of audit plans, audit findings and issue resolution.

The Statutory and Independent Auditors also review internal controls, as necessary, to determine the audit procedures required to support their opinion regarding the fair presentation of the Company's financial condition and operating results in the financial statements.

 To read more about our internal control systems, please refer to Page 207 of our integrated report.

Enterprise-wide Risk Management ('ERM') Update

Our ERM function focuses on the identification, assessment and mitigation of key sectoral, business, operational and strategic risks, through cross-functional collaboration with internal stakeholders as well as monitoring industry related trends.

Our ERM team aggregates and categorises identified risks by risk groups, such as preventable or strategic internal risks as well as external risks. ERM team collaborates with other assurance, business and operation teams to plan and implement mitigation strategies.

The Executive Risk Management Committee that operates under the Company's Risk Management Policy is a management level committee that helps the ERM function to prioritise organisation-wide risks and steer mitigation efforts.

The Audit Committee and Risk Management Committee of the Board of Directors oversee and review the risk

management framework as well as the assessment and management of key risks.

During FY2025, focus areas for risk assessment and mitigation included global trade policies, products, intellectual property, cyber security, data security and privacy, ethics and compliance, quality, safety, amongst others.

 To read more about our ERM governance, please refer to Page 67 of our integrated report and Page 135 for our Business Responsibility and Sustainability Report.

Environmental, Social and Governance ('ESG') Update

We continue to prioritise social impact, delivering positive health outcomes for patients worldwide by enabling access to affordable and innovative medicines, fostering diversity, equity, and inclusion in our work environment, integrating environmental considerations into our operations, and ensuring responsible business practices.

In FY2025, we continued to make progress on our 14 stated ESG goals that were articulated in 2022. During the year, we also conducted a comprehensive company-wide double materiality assessment, evaluating material issues, both from the perspective of ESG impact, as well as their potential influence on our financial performance. This helped identify key sustainability areas to prioritise reporting and action based on what is most relevant to our stakeholders, while also preparing for Corporate Sustainability Reporting Directive ('CSRD') compliance. We also conducted an IFRS S2-aligned climate risk assessment to understand and mitigate potential impact on our operations & business strategy.

 To read more about the mitigation strategy for our updated material risks and opportunities, please refer to Page 135 of our Business Responsibility and Sustainability Report.

 To read more about our ESG progress, programmes, and impact, please refer to the Strategic Review section on Page 24 onwards of our Integrated Report.

Outlook

In FY2025, we delivered consistent performance across our core businesses. We also made significant strides towards building a long-term global consumer healthcare franchise, with the acquisition of the NRT business as well as the partnership with Nestlé India for nutraceuticals. We continue to partner to bring innovative, patient-centric healthcare solutions to our patients, with the intent of addressing unmet needs and improving their lives.

As we look forward, we will continue to secure our core businesses in generics, while building on our future growth drivers by leveraging our diversified geographical presence and our robust product pipeline across complex generics, peptides and biosimilars, as well as consumer healthcare and innovation.

We will continue to drive operating efficiencies and productivity, while also investing to build capacities and capabilities, strengthening our R&D efforts as well as developing talent. With a strong balance sheet and robust cash generation, we will continue to complement our organic growth efforts, with pragmatic inorganic initiatives, in line with our stated strategy.

We remain committed to a sustainable tomorrow, while continuing to deliver sustained growth and financial outcomes as well as long-term value for our stakeholders. We will continue to accelerate access to affordable and innovative medicines to patients and progress on our purpose, 'Good Health Can't Wait'.

Cautionary Statement

The management of Dr. Reddy's has prepared and is responsible for the financial statements that appear in this report. These are in conformity with IFRS, as issued by the International Accounting Standards Board, and accounting principles generally accepted in India and, therefore, include amounts based on informed judgements and estimates. The management also accepts responsibility for the preparation of other financial information that is included in this report. This write-up includes some forward-looking statements, within the meaning of section 27A of the US Securities Act of 1933, as amended and section 21E of the US Securities Exchange Act of 1934, as amended.

The management has based these forward-looking statements on its current expectations and projections about future events. Such statements involve known and unknown risks, uncertainties, and other factors that may cause actual results to differ materially. These factors include, but are not limited to, changes in local and global economic conditions, changes in government regulations, ability to successfully implement the strategy, manufacturing or quality control outcomes, ability to achieve expected results from investments in our product pipeline, change in market dynamics, technological change, currency fluctuations, and exposure to various market risks. By their nature, these expectations and projections are only estimates and could be materially different from actual results in the future. Readers are cautioned not to place undue reliance on these forward-looking statements, which reflect management's analysis and assumptions only as of the date hereof. In addition, readers should carefully review the other information in this annual report and in our periodic reports and other documents filed with all the stock exchanges.



FIVE YEARS AT A GLANCE

(₹ mn)					
Year ending March 31	2025	2024	2023	2022	2021
Income Statement Data					
Revenues	325,535	279,164	245,879	214,391	189,722
Cost of Revenues^	135,107	115,557	106,536	100,551	86,645
Gross Profit	190,428	163,607	139,343	113,840	103,077
as a % of revenues	58.5	58.6	56.7	53.1	54.3
Operating Expenses: ^					
Selling, General and Administrative Expenses	93,870	77,201	68,026	62,081	54,650
Research and development expenses	27,380	22,873	19,381	17,482	16,541
Impairment of non-current assets	1,693	3	699	7,562	8,588
Other Operating (income) / expenses, net	(4,358)	(4,199)	(5,907)	(2,761)	(982)
Total operating expenses^	118,585	95,878	82,198	84,364	78,797
Operating income	71,843	67,729	57,144	29,476	24,280
as a % of revenues	22.1	24.3	23.2	13.7	12.8
Finance Costs, net:					
Finance income	7,553	5,705	4,281	3,077	2,623
Finance expenses	(2,829)	(1,711)	(1,428)	(958)	(970)
Finance (expense) / income, net	4,724	3,994	2,853	2,119	1,653
Share of profit of equity accounted investees, net of income tax	217	147	370	703	480
Profit before income tax	76,784	71,870	60,367	32,298	26,413
Income tax benefit/(expense)	(19,539)	(16,186)	(15,300)	(8,730)	(9,175)
Profit for the year	57,245	55,684	45,067	23,568	17,238
as a % of revenues	17.6	19.9	18.3	11.0	9.1
Attributable to:					
Equity Holders of the Parent Company	56,544	55,684	45,067	23,568	17,238
Non-Controlling Interests	701	-	-	-	-
Earnings per Share (₹)#					
Basic	68	67	54	28	21
Diluted	68	67	54	28	21
Dividend declared per share for the year (₹)	8	8	8	6	5
Balance Sheet Data					
Cash and Cash Equivalents, net of Bank Overdraft	14,654	7,107	5,779	14,852	14,820
Operating Working Capital**	125,982	112,931	94,712	92,076	71,309
Total Assets	492,989	387,518	321,854	296,654	265,491
Total Long-term Debt, excluding current portion	7,864	5,990	1,278	5,746	6,299
Total Stockholders' Equity	337,166	280,550	230,991	190,527	173,062
Additional data					
Net Cash provided by / (used in):					
Operating Activities	46,428	45,433	58,875	28,108	35,703
Investing Activities	(51,021)	(40,283)	(41,373)	(26,387)	(22,660)
Financing Activities	11,855	(3,763)	(26,861)	(2,422)	(298)
Effect of exchange rate changes on cash	224	(59)	286	733	113
Expenditure on Property, Plant and Equipment & Intangibles	(34,398)	(27,435)	(18,864)	(19,049)	(12,561)

^Figures are restated for previous years

*Operating working capital = Trade receivables + Inventories - Trade payables

#Computed after giving effect to 1:5 forward stock split effective October 28, 2024 for all periods presented.
Refer to Note 2.10 of the consolidated financial statements for further details regarding such stock split.

KEY FINANCIAL RATIOS

(₹ mn)					
Year ending March 31	2025	2024	2023	2022	2021
Profitability Ratios					
EBITDA Margin %	28%	30%	30%	24%	25%
Gross Margin %	58%	59%	57%	53%	54%
Global Generics	62%	63%	62%	58%	59%
PSAI	27%	23%	16%	22%	29%
Net Profit Margin (%)	18%	20%	18%	11%	9%
Return on Net Worth (%)	17%	20%	20%	12%	10%
Asset Productivity Ratios					
Fixed Asset Turnover	3.7	3.9	3.8	3.6	3.5
Total Assets Turnover	0.7	0.8	0.8	0.8	0.8
Working Capital Ratios					
Working Capital Days	212	219	182	214	188
Inventory Days	193	196	163	184	177
Debtors Days	95	103	103	108	91
Creditor Days	76	80	84	79	80
Gearing Ratios					
Net Debt/Equity	(0.07)	(0.23)	(0.21)	(0.08)	(0.04)
Interest Coverage	25.5	39.7	40.3	31.5	25.5
Current Ratio	1.9	2.6	2.4	1.9	1.8
Valuation Ratios^					
Earnings per Share (₹)	67.8	66.8	54.2	28.3	20.7
Book Value per Share (₹)	404	337	278	229	208
Dividend Payout	12%	12%	15%	21%	24%
Trailing Price/Earnings Ratio	16.9	18.4	17.1	30.3	43.6

(1) Fixed Asset Turnover: Net Sales / Average Net Fixed Assets (Property, Plant and Equipment)

(2) Total Asset Turnover: Net Sales / Average Total Assets

(3) Working Capital Days: Inventory Days + Receivable Days – Payable Days

(4) Inventory Days: (Average of Closing Inventory - as on end of September and March) / (Cost of Revenue during last 6 months) * 182

(5) Receivable Days: Outstanding Receivables netted-off with the daily average sales; starting from the latest month

(6) Payable Days: (Average of closing Payables - as on end of December and March) / (Material Cost during last 3 months) * 90

(7) Book Value per share: Equity/Outstanding Equity Shares

(8) Dividend Payout: DPS/EPS

(9) Trailing price: Closing Share Price on the last working day of March

^Computed after giving effect to 1:5 forward stock split effective October 28, 2024 for all periods presented.
Refer to Note 2.10 of the consolidated financial statements for further details regarding such stock split.